Commercial Credit Policy

Standard Operating Guidelines & Risk Assessment Framework

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Effective Date: January 15, 2026
Target Audience: Risk, Sales & Operations

> **Policy Objective**
> This policy defines mandatory standards for extending commercial trade credit, establishing limit thresholds, evaluating counterparty risk, and enforcing collection procedures across all operating divisions.

1. CREDIT APPLICATION & ONBOARDING

All prospective business-to-business (B2B) accounts requesting net payment terms must undergo mandatory credit screening prior to account activation or order fulfillment.

1.1 Required Documentation

- **Form CR-101:** Fully executed Commercial Credit Application signed by an authorized officer.
- **Financial Statements:** Audited balance sheets and income statements for the past two (2) fiscal years.
- **Bank & Trade References:** Minimum of one (1) bank reference and three (3) active trade references.
- **Tax Identification:** Valid W-9 form or VAT/GST Registration Certificate.

1.2 Exemption Threshold

Orders under `$5,000 USD` may bypass audited financial statement submission, provided payment terms are limited to Net 15 and verified via automated credit bureau scoring (Experian/D&B score ≥ 70).

2. STANDARD PAYMENT TERMS & DISCOUNT RULES

Standard payment terms are set to **Net 30 Days** from the date of invoice issuance, unless explicitly approved under Section 3 authority.

Term Code	Payment Period	Early Payment Discount	Approval Level Required
`TERM-N15`	Net 15 Days	0.5% if paid within 5 days	Credit Analyst
`TERM-N30` (Standard)	Net 30 Days	1.0% if paid within 10 days	Credit Analyst
`TERM-N60`	Net 60 Days	No discount permitted	Credit Manager
`TERM-N90`	Net 90 Days	No discount permitted	VP of Finance / CFO

3. AUTHORIZATION & DELEGATION LIMITS

Credit limits are assigned based on total exposure across all connected operating entities and subsidiaries.

- **Credit Analyst:** Up to $50,000 credit limit; Net 15 or Net 30 terms only.
- **Senior Credit Manager:** Up to $250,000 credit limit; up to Net 60 terms.
- **Credit Committee (CFO & VP Risk):** Exceeding $250,000 up to $2,000,000.
- **Board Risk Subcommittee:** Any exposure exceeding $2,000,000 or custom unsecured arrangements.

4. CREDIT RISK SCORING & RATIOS

Financial evaluations rely on a structured assessment of financial ratios derived from submitted balance sheets and cash flow statements.

Financial Metric	Low Risk (Pass)	Moderate Risk (Review)	High Risk (Decline)
Current Ratio (CA / CL)	> 1.8x	1.2x – 1.8x	< 1.2x
Debt-to-Equity Ratio	< 1.5x	1.5x – 3.0x	> 3.0x
Interest Coverage Ratio	> 4.0x	2.0x – 4.0x	< 2.0x
Days Sales Outstanding (DSO)	< 45 Days	45 – 65 Days	> 65 Days

5. COLLECTIONS, OVERDUE ACCOUNTS & HOLDS

To mitigate default risks, automatic credit hold triggers and structured escalation workflows are strictly enforced for past-due accounts.

5.1 Automatic Credit Hold Triggers

An account is automatically placed on **Order Hold** under any of the following conditions:

1. Any outstanding invoice exceeds **15 days past due**.
2. Total account balance reaches **105% of approved credit limit**.
3. Bouncing of payment (returned ACH / NSF check).

5.2 Delinquency Escalation Schedule

- **1 to 10 Days Overdue:** Automated email reminder sent to Accounts Payable contact.
- **11 to 30 Days Overdue:** Credit Analyst personal phone call + formal Demand Letter Level 1.
- **31 to 60 Days Overdue:** Account placed on strict credit hold; interest penalty of 1.5% per month (18% per annum) applied to overdue balance.
- **61 to 90 Days Overdue:** Senior Manager outreach; option for structured workout plan (max 90 days).
- **91+ Days Overdue:** Account referred to external collection agency or legal counsel for recovery; full bad-debt provision allocated.

6. PERIODIC REVIEW & AUDIT REQUIREMENTS

All active credit limits above $50,000 must undergo an **annual re-assessment**. High-risk accounts (Moderate Risk tier with credit exposure exceeding $100,000) are subject to **semi-annual reviews**.

> **Important Exceptions & Overrides**
> Credit limit overrides or temporary holds releases during pending disputes require dual authorization from the Senior Credit Manager and the Regional Sales Director via Form CR-EX-01.